Meta Platforms, Inc.

META NASDAQ

Buy	$628.50 ▲ 1.20%	12M Price Target	52-Week Range	Market Cap
		$720.00	$520.26 – $779.82	$1.61T

META: Dems Sweep Congress, AI Capex Fears May Finally Ease

WHAT HAPPENED

- Democrats swept Congress yesterday, and oddly enough that's a mild positive for Big Tech today — the market thinks a divided or Dem-led government means less pressure to go all-in on AI capex (capital expenditure = money spent building stuff like data centers), so names like META, which have been punished for spending ~$100B+ on AI infrastructure, are catching a bid. META up 1.2% while data center stocks got sold.
- AMD disclosed its mega-deals with META and OpenAI cost it $1.1B in warrants/equity giveaways — translation: META is getting aggressive discounts on AI chips, which is quietly bullish for their unit economics even if the headline looks ugly for AMD.

WHY IT MATTERS

Here's the real takeaway: META has been stuck in a tug-of-war between "ad business is a cash printer" and "they're torching the cash on AI." Yesterday's election result reframes that — a Democratic Congress is less likely to pass aggressive subsidies for AI buildouts, which paradoxically HELPS META because it caps the arms race and makes their already-committed spending look more rational. The stock is at only 42% of its 52-week range despite monster earnings power, meaning sentiment is washed out — any sign that 2027 capex guidance comes in BELOW the whisper number ($140B+) could trigger a sharp re-rate higher. Watch for antitrust noise though — Dem sweeps historically bring sharper teeth on Big Tech M&A and ad market dominance.

POLICY & POLITICAL WATCH

Two things to watch: (1) The KOSA (Kids Online Safety Act) revival — Dems have been pushing this harder than Republicans, and if it moves, META's Instagram and WhatsApp face new content liability costs. (2) Section 230 reform chatter will pick up again under a Dem Congress — that's the law shielding platforms from user-content lawsuits, and any weakening of it is a direct hit to META's business model. On the flip side, Dems are less hawkish on China tariffs on semiconductors, which actually helps META's AI chip supply chain. Net-net: regulatory environment is getting tougher on content, friendlier on supply chain.

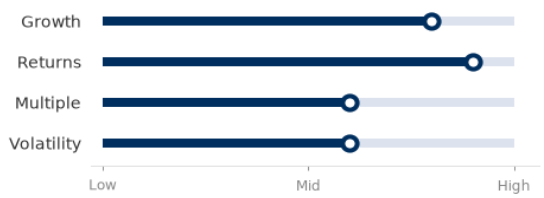
IS IT EXPENSIVE?

At ~23x forward earnings (you're paying $23 for every $1 of profit expected next year), META is actually cheaper than the S&P 500 average right now — which is nuts for a company growing revenue ~15-20% with 35%+ operating margins. The market is basically pricing in that AI capex is wasted money. If even half of that AI spend produces real returns (better ad targeting, Reels engagement, Llama monetization), this multiple is way too low.

Key Data

Price (USD)	**$628.50**
12M Price Target	**$720.00**
Upside / (Downside)	**+14.6%**
Market Cap	**$1.61T**
FY2026E Revenue	**$205M**
FY2027E Revenue	**$238M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$32.00**
Fwd P/E	**22.9x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | November 04, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$680.00**	$640.00	**$580.00**
6 Months	**$740.00**	$680.00	**$560.00**
1 Year	**$820.00**	$720.00	**$540.00**
2 Years	**$950.00**	$800.00	**$500.00**
5 Years	**$1400.00**	$1000.00	**$450.00**
10 Years	**$2200.00**	$1500.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+4.6%) and Staples (+3.5%) — classic "soft landing" rotation as the election removes uncertainty. Comm Services (META's sector) up 3.5% as mega-cap tech catches relief bid on easing AI capex fears.

COOLING OFF: Data center / AI infrastructure pure-plays got hit hard — the market is pricing in that a Dem Congress won't rubber-stamp more utility buildouts and permitting for massive AI campuses.

ROTATION WATCH: Money is rotating OUT of "picks and shovels" AI infra names and INTO the hyperscalers that OWN the AI output — META, GOOG, MSFT. The thinking: if capex cools, the companies that already built are the winners.

RELATED PLAY: If you buy the META thesis, GOOGL is the sister trade — same ad-funded AI build, similar multiple compression, same political dynamic. Pair them if you want diversified exposure to this theme.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Benefiting from same "ad cash flow funding AI" narrative and relief that capex pressure may ease.
- MSFT (Microsoft): The Azure/OpenAI story keeps winning as enterprise AI demand proves real even if infra spending slows.

META CONTEXT: META is slightly LAGGING the Mag7 bounce today (+1.2% vs +3%+ for broad tech ETFs) — that's a tell. Either there's lingering concern about content regulation under Dems, or those big put buyers know something. Not a reason to sell, but it's why I'm not pounding the table at 10/10 conviction.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Love the setup, love the valuation, but those unusual puts and the regulatory overhang keep me from going max bullish.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a 20% drawdown doesn't ruin your year.

ENTRY POINTS: Add on pullbacks to $600-615. If it breaks $580, something changed and you want to figure out what before adding more.

TIME HORIZON: 12-18 months — the catalyst is 2027 capex guidance (usually announced with Q4 earnings in late January) and seeing if AI investments start showing up in ad revenue acceleration.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, if capex guidance blows past $150B without ROI explanation, or if Section 230 reform actually passes the Senate. Any of those = exit.

HEDGING: Buy some out-of-the-money puts around earnings as cheap insurance, OR pair this long with a short on an expensive AI infrastructure name (the stuff that just got sold today) — you profit from the rotation either way.

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